

6-1a Safeguarding Inventory

Controls for safeguarding inventory begin as soon as the inventory is ordered. The following documents are often used for inventory control:

- Purchase order
- Receiving report
- Vendor's invoice

The

purchase order (The document authorizing the purchase of the inventory from an approved vendor.)

authorizes the purchase of the inventory from an approved vendor. As soon as the inventory is received, a receiving report is completed. The

receiving report (The form or electronic transmission used by the receiving personnel to indicate that materials have been received and inspected.)

establishes an initial record of the receipt of the inventory. To make sure the inventory received is what was ordered, the receiving report is compared with the purchase order. The price, quantity, and description of the item on the purchase order and receiving report are then compared to the vendor's invoice. If the receiving report, purchase order, and vendor's invoice agree, the inventory is recorded in the accounting records. If any differences exist, they should be investigated and reconciled.

Recording inventory using a perpetual inventory system is also an effective means of control. Because the amount of inventory is always available in the

subsidiary inventory ledger (The subsidiary ledger containing individual accounts for items of inventory.)

, this helps keep inventory quantities at proper levels. For example, comparing inventory quantities with maximum and minimum levels allows for the timely reordering of inventory and prevents ordering excess inventory.

Finally, controls for safeguarding inventory should include security measures to prevent damage and customer or employee theft. Some examples of security measures include the following:

- Storing inventory in areas that are restricted to only authorized employees
- Locking high-priced inventory in cabinets
- Using two-way mirrors, cameras, security tags, and guards

Link to Best Buy

Best Buy uses scanners to screen customers as they leave the store for merchandise that has not been purchased. In addition, Best Buy stations greeters at the store's entrance to keep customers from bringing in bags that can be used to shoplift merchandise.

